claimed that it had brought stability and increased confidence all around. He also stated that the burden of proof that some other ratio was more suitable rested with the advocates of the other ratio. (Sir James Taylor, the second Governor of the Reserve Bank of India believed that Blackett had already made up his mind to establish the 1s 6d ratio even before he had arrived in India as the Finance Member.) While the 1s 6d ratio might have been a mistake, C.D. Deshmukh, the first Indian Governor of the RBI, observed that Sir Basil's firm handling of the matter led to a shift in the balance of power with regard to the maintenance of exchange from London to India. Before his arrival, the control of exchange was with the India Office who dictated policy after consulting the London offices of the exchange banks. He observed, 'The India Office was blind to the impossibility of conducting business in this fashion after the introduction of the Reforms, and unfortunate Finance Members had to stand up in the Assembly and defend policies to which they themselves were opposed and the absurdity of which was often locally manifest.'[13]

Purshotamdas responded by saying that they were asking for a 1s 4d rate because that was on the Statute-book till 1914. He observed that 1s 4d was longest in existence during the last twelve years and was exceeded only for about 18–20 months, and that too it was 1s 5d and not 1s 6d. Purshotamdas lost the battle he had so doughtily waged but this was not the end of the ratio controversy as it continued even after the RBI was set up.

Purshotamdas's warnings proved to be prescient. Trade and industry suffered greatly. Between September 1929 and December 1930, imports fell by 16 percent and exports by a huge 36 percent. The purchasing power of the agriculturists took a beating, deficit budgets became the norm, and during 1924–1931, India's total interest bearing obligations had increased from ₹919 crores to ₹1,179.96 crores.[14] Even though part of the blame must attach to the world depression, it was greatly aggravated by the appreciated rupee, and only the inflationary conditions resulting from the Second World War, brought about a positive change in the fortunes of the Indian farmer.